International Business Strategy

Internal Analysis

Scan Me

STUTI PRADHANANGA

Islington College

Analyzing the Firm

Before analyzing the environment in which a firm operates, we need to consider the resources that the firm can bring to competing in any environment. This is the study of firm capabilities.

How does the firm compete?

1. The Resource-Based View of the firm; conducting a resource audit
2. Value chain (what is done the same / differently / worse / better than competitors?)
3. Efficiencies in terms of costs and scope are types of internally developed capabilities

Key Question

External analysis tells us WHERE to compete.

Internal analysis tells us WHETHER we can win.

Think of it like a job application:
Don't ask 'Is the market good?'
Ask 'Am I the right candidate?'

Learning Objectives

01

Internal Analysis

Understand why internal analysis is essential for competitive strategy

02

Resources, Capabilities & Core Competencies

Identify and differentiate key building blocks of firm advantage

03

VRIO Analysis

Evaluate resources using the VRIO framework to identify sustained advantage

04

Value Chain Analysis

Understand how activities impact cost and competitiveness

Four Pillars of Internal Analysis

External analysis tells us where to compete. Internal analysis tells us whether we can win.

1

Resources

Inputs

2

Competencies

How resources are used

3

Capabilities

Higher-order integration

4

Cost Efficiency

Scale & learning effects

Personal Example

Before asking:

"Is the job market competitive?"

Ask:

What do I bring?

E.g. degree, certifications, work experience

What are my strengths?

E.g. analytical skills, communication, leadership

What are my weaknesses?

E.g. limited network, no industry experience

1. The Resource-Based View

Firms achieve competitive advantage because they possess different resources, and these resources are difficult to transfer or copy.

Core Idea

Not all firms have the same resources. Those with superior, hard-to-copy resources outperform rivals — not simply because of industry position.

Apple	Coca-Cola	Toyota
Design culture & iOS ecosystem	Brand & secret formula	Lean production system (TPS)

The RBV Framework — How It Works

Resources
Inputs

Competencies
Use of resources

Capabilities
Higher level abilities to do well

Competitive Advantage
Sustained performance

Key Insight

Tangible resources (machinery, capital) are necessary but not sufficient. **Intangible resources** (brand, culture, knowledge) are far harder to imitate and are the true source of sustained competitive advantage.

Example: Two airlines can both buy the same aircraft, but Southwest Airlines' operational culture and employee relations took decades to build.

Three Categories of Firm Resources

Physical Resources

- Factory assets & equipment
- Raw materials & location
- Technological infrastructure

Organizational Resources

- Culture & relationships
- Structure
- Patents and trademarks
- Standard Operating Procedures (SOPs)

Human Resources

- Employees' expertise and skills
- Experience & tacit knowledge
- Training and development programs
- Creativity and innovation ability

The Foundation: Tangible & Intangible Resources

TANGIBLE

Financial:
Debt capacity, cash reserves, credit rating

Physical:
Plants, equipment, technology, distribution

Technological:
Patents, trade secrets, proprietary processes

Organisational:
Formal reporting structures, planning and control systems

INTANGIBLE

Human:
Skills, expertise, experience, trust

Innovation:
Ideas, scientific capabilities, R&D capacity

Reputational:
Brand, perceived quality, customer loyalty

Why intangibles matter more:
Competitors can buy tangibles. They cannot easily replicate culture, trust, or 20 years of learning.

Amazon's Resources by Category

amazon

Physical

- 1,000+ fulfillment & sortation centers globally
- Advanced robotics
- Proprietary aircraft fleet (Amazon Air)
- Last-mile delivery network
- Massive global data centers (AWS)

Human

- AI scientists & ML engineers
- Cloud computing architects
- Supply chain optimization specialists
- Behavioral economists
- Product innovation teams

Organizational

- Customer-first culture
- Data-driven decision-making
- Internal innovation labs
- 14 Leadership Principles
- "Two Pizza Teams" for agility

Amazon — 14 Leadership Principles

amazon 14 leadership principles

- Customer Obsession
- Ownership
- Invent and simplify
- Hire and Develop the Best
- Are Right, A Lot
- Learn and Be Curious
- Insist on Highest Standards
- Think Big
- Earn Trust
- Dive Deep
- Bias for Action
- Frugality
- Disagree and commit
- Deliver Results

Two Pizza Team

Two Pizza Team — The Concept

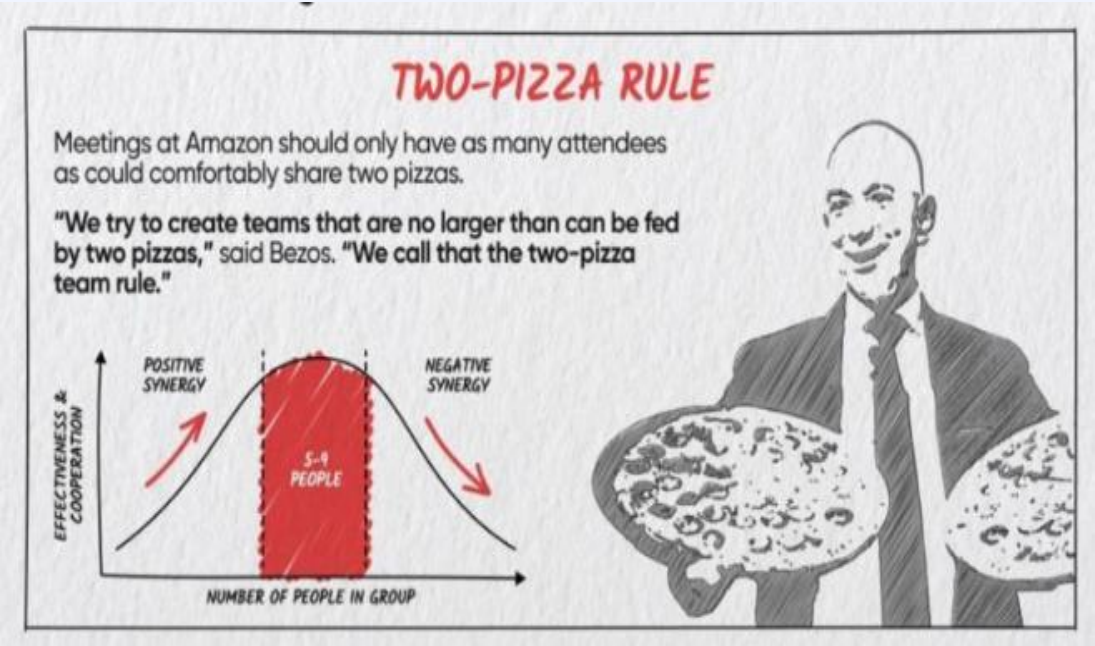
The concept of Amazon's two-pizza teams is straightforward:

No team should be big enough that it would take more than two pizzas to feed them.

In this way, it is concluded that the "Two Large Pizza" team is the team with the size of not more than 8 or 9 people.

The Why's of Two Pizza Team

- If a team becomes too large, communication slows down and decision-making becomes bureaucratic.
- The two-pizza team structure was designed to preserve agility, stay innovative, move fast and act like a startup inside a large organization.



Small teams (≤10 people) to reduce communication gaps and bureaucracy.

Increases ownership, accountability, and individual effort.

Reduces free-riding effect & improves productivity.

Improves employee engagement and satisfaction.

Focused on single-threaded ownership to drive fast innovation.

Resource Based View (RBV) — Assumptions

1

Heterogeneity of Resources

Resources are differentially distributed among competing firms. Firms have different resource bundles.

2

Immobility of Resources

Strategic resources cannot be easily transferred from one competitor to another. Some resources are 'sticky' — hard to move or replicate.

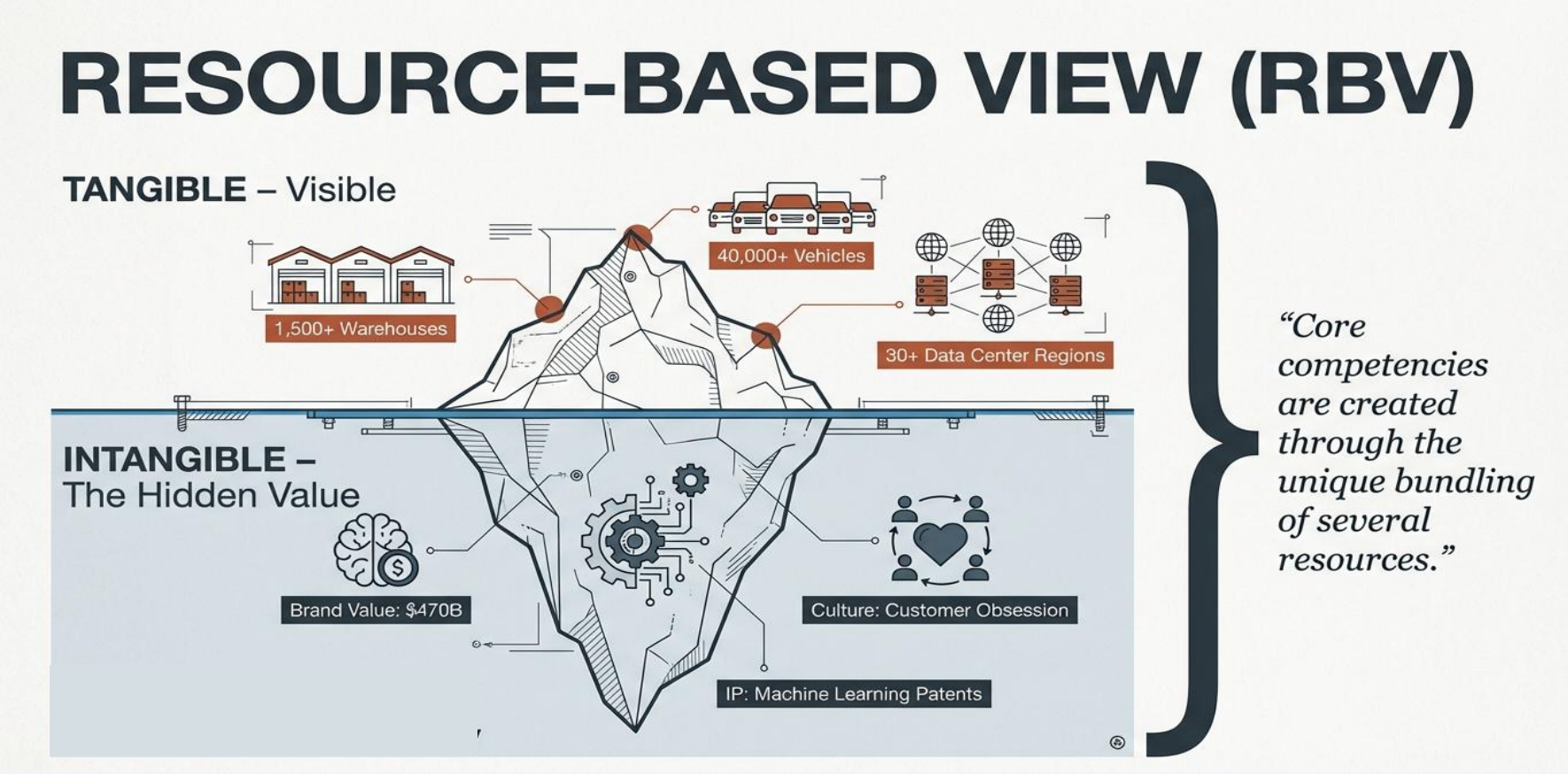
Example: You can get the same degree as a top consultant, but you cannot instantly replicate 10 years of industry relationships, tacit understanding, and trust built over time.

"Can an organisation acquire competitive advantage in an industry where all tangible and intangible resources are equally distributed or identical?"

No!

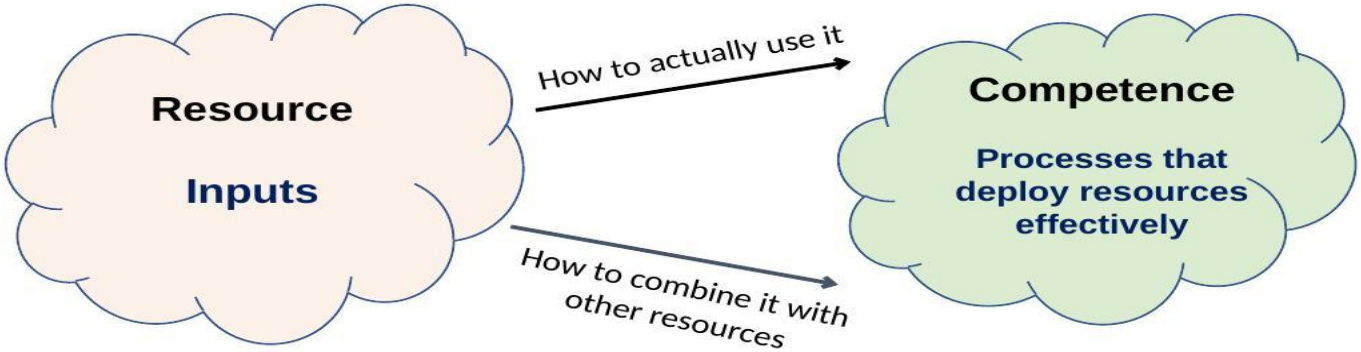
Differentiation in resources is what drives competitive advantage. Without resource heterogeneity, there is no basis for one firm to outperform another.

Resource-Based View (RBV) — Tangible vs Intangible



Competencies

- How the above resources are used is of crucial importance to firms
- A firm's competences are the activities and processes through which it deploys its resources effectively
- Core competence typically defined in terms of firm's ability to coordinate diverse technologies & skills; collective learning



From Competencies to Capabilities

Capability is the broader, higher-level capacity to integrate, build, and reconfigure competencies to meet changing market needs. That ability is underpinned by resources and competencies.

Resources, competencies and capabilities can lead firms to operate efficiently and competitively. They are necessary conditions.

Resources

Inputs — what the firm owns or controls

→ used to build →

Competencies

What the firm does well with those resources

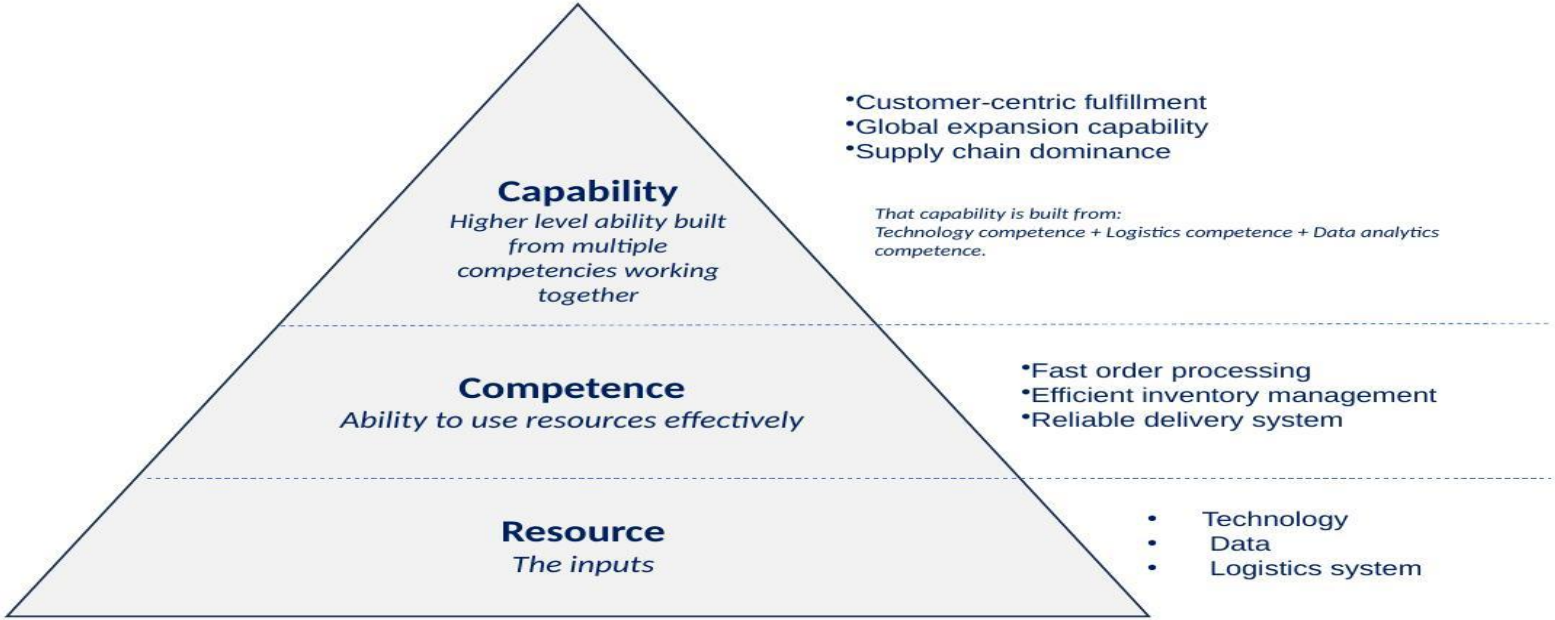
→ combined into →

Capabilities

Higher-level ability to combine & adapt competencies

Competence vs. Capability — Amazon Example

Competence is what a firm is good at (its expertise), while capability is its ability to effectively combine and deploy those competences to achieve results.



VRIO — A Resource Evaluation Tool

VRIO is a tool from the Resource-Based View (RBV) used to evaluate whether a firm's resource or capability can create sustained competitive advantage.

V

Valuable

Must meet customer needs and help the firm exploit opportunities or neutralize threats

R

Rare

Unique — not possessed by many competitors in the same industry

I

Inimitable

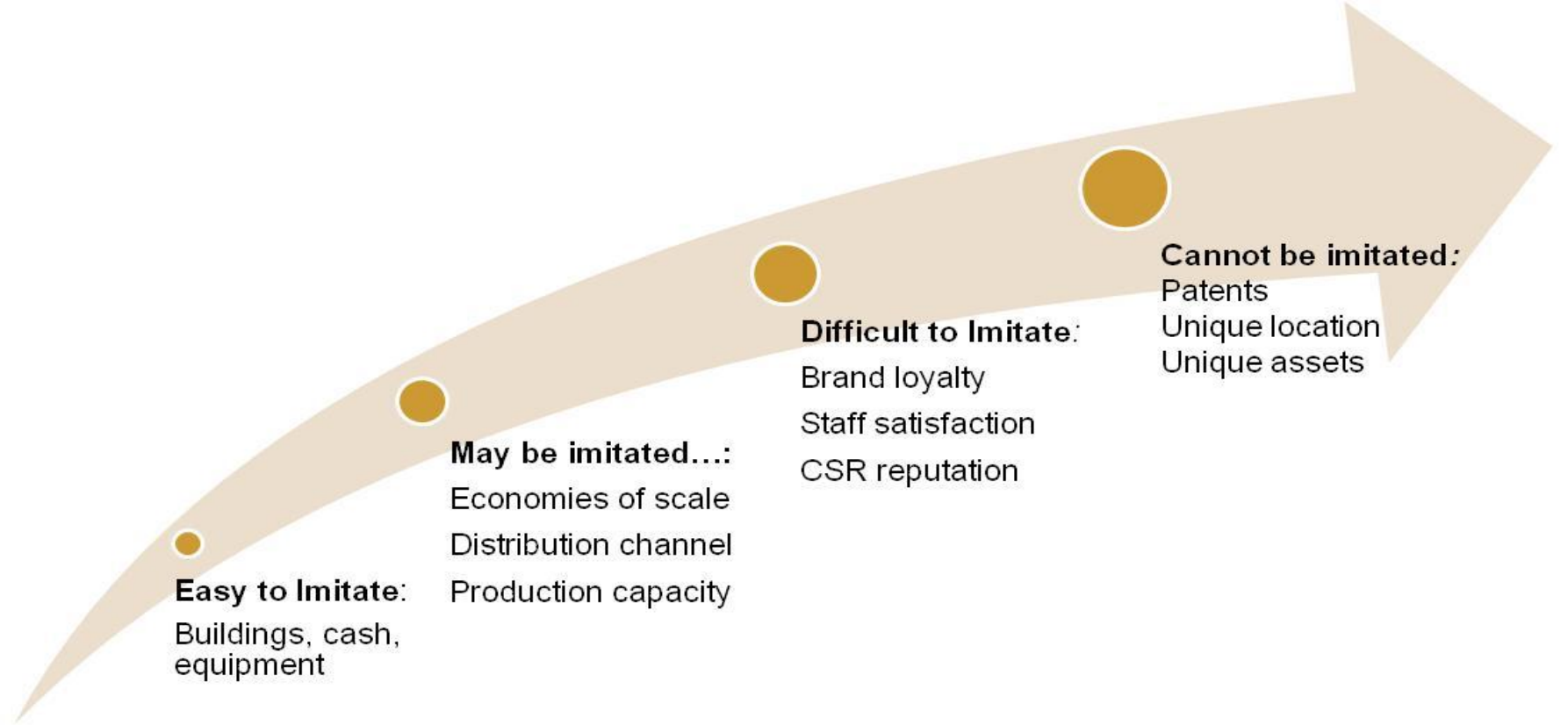
Difficult or costly for competitors to imitate, substitute, or acquire in the near future

O

Organisation

The firm is structured, equipped, and ready to fully leverage the resource

Examples of imitability



Source: adapted from Collis and Montgomery, (1996)

How to Conduct a VRIO Analysis

1

Identify Resources

Brainstorm an exhaustive list of your firm's resources and capabilities — tangible and intangible.

2

Ask Value

Does the resource provide value by enabling you to meet market needs or mitigate threats?

No → Competitive Disadvantage

3

Ask Rarity

Is this resource currently rare compared to competitors?

No → Competitive Parity

4

Ask Imitability

Would it be difficult for competitors to imitate, substitute, or acquire this resource?

No → Temporary Competitive Advantage

5

Ask Organisation

Do you have organisational systems in place to fully exploit the resource?

Yes (all four) → Sustained Competitive Advantage

Interpreting Your VRIO Score

Valuable?	Rare?	Inimitable?	Organised?	Outcome
No	—	—	—	**Competitive Disadvantage**
Yes	No	—	—	**Competitive Parity**
Yes	Yes	No	—	**Temporary Advantage**
Yes	Yes	Yes	Yes	**Sustained Advantage ★**

Example: Tesla's battery technology is Valuable, Rare, Inimitable (for now), and Tesla is Organised to exploit it — giving Sustained Advantage. Their brand is similarly advantaged. However, their production processes face increasing imitation, which could shift to Temporary Advantage.

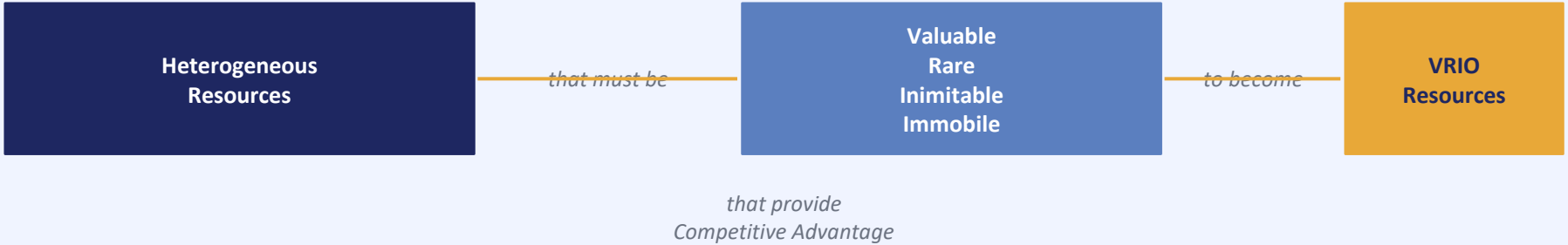
VRIO in Practice — Coca-Cola

VRIO is a tool from the Resource-Based View (RBV) used to evaluate whether a firm's resource or capability can create sustained competitive advantage.

COCA-COLA

Resource	Valuable?	Rare?	Inimitable?	Organised?	Outcome
Secret Formula	✓	✓	✓	✓	**Sustained Competitive Advantage**
Brand Equity	✓	✓	✓	✓	**Sustained Competitive Advantage**
Global Distribution Network	✓	✓	✓	✓	**Sustained Competitive Advantage**
Can Design / Packaging	✓	✗	✗	✓	**Competitive Parity**
Marketing Campaigns	✓	✓	✗	✓	**Temporary Advantage**

Key Takeaways from RBV



1

Not all resources are equal

Focus strategic investment on resources that are V-R-I-O, not just any resource.

2

Intangibles are the real differentiators

Culture, knowledge, brand, and relationships are hardest to copy and most enduring.

3

Advantage erodes over time

Resources must be continually developed or competitors will eventually close the gap.

4

Internal before external

Know what you have before deciding where to compete. Strategy must be grounded in capabilities.

2. Value Chain Analysis

Understanding how each activity adds value and impacts cost & competitiveness

Inbound Logistics	Operations	Outbound Logistics	Marketing & Sales	Service

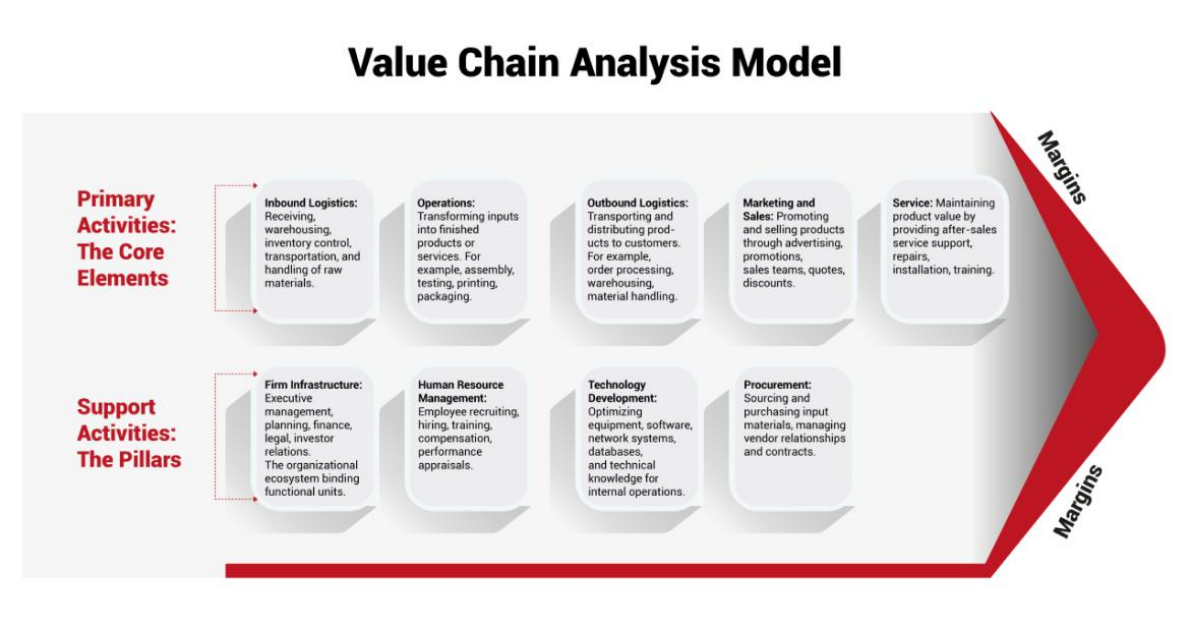
PRIMARY ACTIVITIES

Firm Infrastructure	HR Management	Technology	Procurement

SUPPORT ACTIVITIES

Value Chain Analysis

A strategic framework that maps all the activities a business performs to create and deliver a product or service. The goal is to understand how each step adds value for customers and impacts costs and competitiveness.



Two Activity Types

Primary Activities

Directly involved in delivering products to the user

Support Activities

Contribute indirectly by supporting the primary activities

Why It Matters

Key Benefits and Strategic Importance

Identifies Cost Drivers & Inefficiencies

Breaks down each activity to understand where costs are generated and which processes add little or no value, improving resource allocation.

Reveals Strengths and Weaknesses

Through internal benchmarking and comparison with competitors, firms can identify where they lead or lag.

Improves Operational Efficiency

Streamlines processes, eliminates duplication, and improves coordination across departments.

Supports Strategic Decision-Making

Focuses on activities that create unique customer value and sustains competitive advantage.

3. Economic Efficiency

Cost advantages a firm gains from its internal operations & production structure.

Economies of Scale

Cost ↓ as volume ↑

Learning Effects

Cost ↓ as experience ↑

Experience Curve

Combined long-term reduction

Economies of Scale — Cost Advantage from Size

Efficiency is measured by the quantity of inputs required to produce a given output.

Economies of Scale
When average cost per unit decreases as output increases

Spreading Fixed Costs
High fixed costs (factory, R&D) are divided over more units

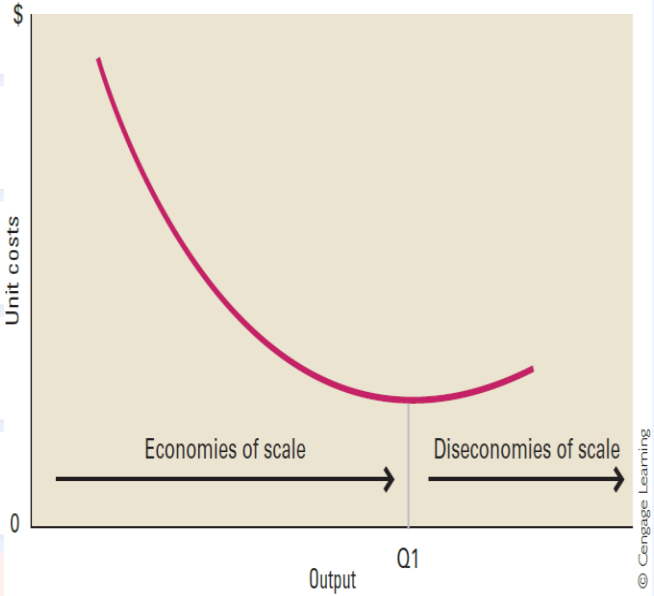
Bulk Purchasing Power
Larger orders attract supplier discounts and preferred terms

Specialisation & Division of Labour
Workers focus on fewer tasks, becoming faster and more accurate

Better Use of Technology
High-tech equipment only economical when running at high volume

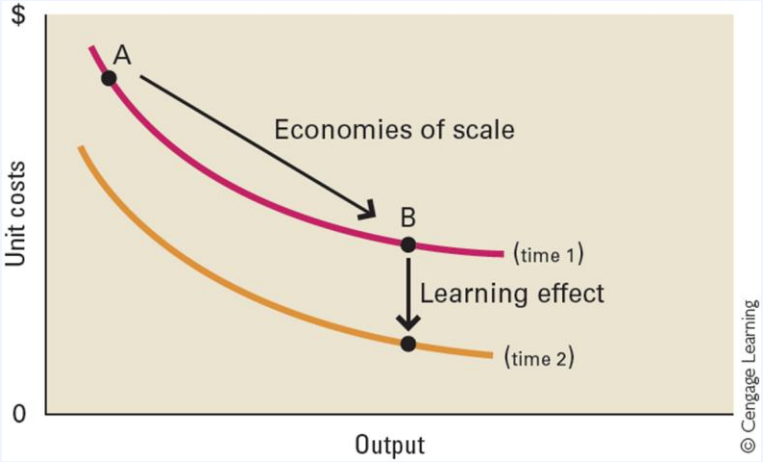
Operational Efficiency
Processes optimised through repetition and system improvements

Diseconomies of Scale: Unit cost increases with very large scale due to bureaucracy, slow decision-making, and coordination problems.



Learning Effects — Doing Leads to Knowing

- Cost savings come from learning by doing
- More significant when a technologically complex task is repeated, as there is more to learn
- Diminish in importance after a period of time
- Triggered by changes in a company's production system



Experience Curve

Combined long-term cost reduction from volume + experience + process improvement

A product's per-unit production costs decline each time its accumulated output doubles.
Useful in industries that mass-produce a standardised output.

Systematic Cost Reduction

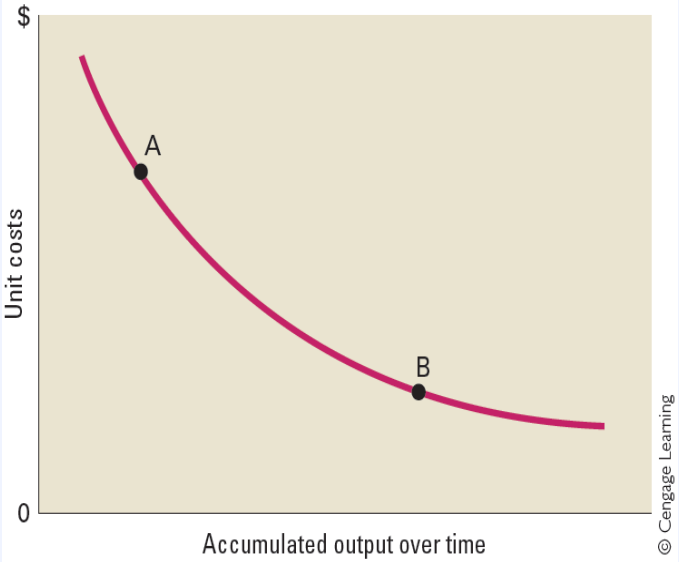
Costs drop consistently through scale, learning, and process improvement — not just one factor.

Doubles Effect

Each time cumulative output doubles, per-unit cost falls by a predictable percentage (15–25%).

Mass-Production Industries

Most powerful in semiconductors, aviation, solar panels, and consumer electronics.



Hill et al, 2015

Internal Analysis · Case Study Workshop

Ncell vs The OTT Wave

When the Network Carries More but Earns Less

Scenario: Slow Internet Complaints

Resources → VRIO → Value Chain

Background

Ncell Axiata Limited has served Nepal since 2004. Over two decades it built the country's most extensive private mobile network — reaching all 77 districts, laying the east-west fiber backbone, and launching 4G/LTE to over 90% of the population. By any infrastructure measure, it remains Nepal's most capable private telecom operator.

But infrastructure success has not translated into revenue resilience. Since 2019, Ncell's revenues have fallen 25% — in a period when comparable markets like Bangladesh and Sri Lanka grew 40%.

The explanation is Over-the-Top services. WhatsApp, Viber, Facebook Messenger, Telegram, and YouTube have replaced the services Ncell used to charge for. Every WhatsApp call travels across Ncell's towers. Every video on YouTube loads through Ncell's spectrum. But Ncell earns only the fractional data cost — not the per-minute voice rate or the SMS fee it once collected for identical communication.

The network is working harder than at any point in its history. The business is smaller. That is the paradox.

Ncell

▼ 25%

Revenue decline over 5 years (2019–2024)

Bangladesh & Sri Lanka grew 40% same period

48%

Of total income goes to govt in taxes & fees

10%

Current capex as % of revenue

Was nearly 50% five years ago — now at floor

15M+

Subscribers on the network right now

Generating data that earns Ncell a fraction of past revenue

You have been hired as a strategic consulting team to conduct an internal analysis of Ncell in light of increasing OTT disruption and rising customer complaints.

Your task is to conduct a structured internal analysis and provide a clear diagnosis.

Part 1: Identify all resources Ncell holds across Physical, Organisational, and Human categories.

Part 2: Evaluate any 5 identified resource against the VRIO Framework

Part 3A: Map out the company's complete value chain (primary and support activities).

Part 3B: Due to increasing traffic, customer complaints about slow Internet has increased. Which value chain activities are affected the most?